

Defendant does not address or dispute that he received the email sent on October 3, 2021 with all attachments. This is tantamount to a concession that he did, in fact, receive the attachments along with the three-page contract. When, on October 4th, defendant returned a signature on the three-page agreement, it was reasonable to understand this as defendant's consent to the entirety of the contract, including the specifically listed appendices.

Accordingly, by a preponderance of the evidence presented, the Court finds defendant did assent to the Appendix C. While the Court notes there was a "condition precedent" involving attempts to mediate, the condition was satisfied by the letter sent in March of 2024. (See Declaration of Fook Hong Sham in Support of Motion, Exhibit B.) Aside from denying its existence, defendant does not posit any other reasons why the Court should not enforce the agreement. The motion must therefore be granted.

8. 9:00 AM CASE NUMBER: C24-01538
CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT (ADVANCED FROM 6/8/26)
FILED BY: COIT FINANCIAL GROUP, LLC
TENTATIVE RULING:

Before the Court is a demurrer by defendant COIT Financial Group, LLC to the second amended complaint. For the reasons set forth, the general demurrer by COIT to the second amended complaint in its entirety is **SUSTAINED, with leave to amend.**

Background

Plaintiffs Fuller Properties, LLC and approximately 21 other entities allege they are the owners of multifamily apartment buildings which are managed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. (Sec. Am. Compl. ("2AC") ¶¶ 4, 38, 40, 43.) Plaintiffs allege each of them entered into written Management and Leasing Agreements ("Management Agreement"), a form of which is attached to the 2AC as Exhibit A. (2AC ¶ 43 and Exh. A.) The form of the Management Agreement shows defendant Sequoia Equities, Incorporated as the other party to the agreement.

Defendant COIT Financial Group, LLC was added to the case by a Doe amendment. (2AC ¶ 36.) Plaintiffs do not allege they had any direct financial dealings or transactions with COIT. They allege in paragraph 34, on information and belief, that COIT is "the financial sponsor and ultimate parent entity" of Sequoia and Alder Creek. (2AC ¶¶ 34, 41.) They then allege on information and belief that COIT, Sequoia and Alder Creek "operate as a single enterprise" and list a series of allegations on which their information and belief is based, which the Court will address in more detail below. (2AC ¶ 35.) They also make generic allegations on information and belief regarding each defendant being an agent, employee, representative or similar status of the other defendants. (2AC ¶ 37.) They allege a "unity of interest" among COIT, Sequoia, and Alder Creek. (2AC ¶ 42.) They then allege COIT is liable for the breach of the Management Agreements based on their "alter ego and single enterprise allegations." (2AC ¶ 70.) These allegations are the only specific allegations naming COIT in the 2AC; they allege no acts or omissions of basis for liability of COIT for any of the claims made in the 2AC

other than its status as the alter ego of Sequoia and Alder Creek and/or its operation as part of a "single enterprise."

Some additional procedural history is relevant. Defendants Sequoia and Alder Creek filed a demurrer to the original complaint. Before the demurrer was heard, Plaintiffs filed a first amended complaint ("FAC"), and Sequoia and Alder Creek filed a motion for judgment on the pleadings as to the FAC which was scheduled for hearing on December 8, 2025.

The Court issued a tentative ruling which was uncontested and became the order of the Court. (Not. of Rul. filed 12/12/2025.) That ruling granted the motion for judgment on the pleadings as to the FAC in its entirety as to Alder Creek, claims that, not unlike those against COIT, were based entirely on an alter ego/unity of interest theory. (*Id.*) The Court denied Sequoia's motion as to the negligent interference with prospective business advantage and accounting causes of action but granted the motion as to the other seven causes of action subject to the motion. Plaintiffs dropped some of the 11 causes of action pled in the FAC and filed the current seven cause of action 2AC.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

COIT's Request for Judicial Notice

The Court **GRANTS** COIT's request for take judicial notice of the 2AC, the Notice of Ruling on the prior motion for judgment on the pleadings in this case, and the Statement of Information for COIT filed with the California Secretary of State's Office on December 2, 2025, subject to the applicable

limitations on judicial notice as the Court does not take judicial notice of the truth or interpretation of the content of the documents where reasonably disputable. (RJN ¶¶ 1, 5, 6; Davidson Decl. Exhs. 1, 5, 6; Evid. Code §§ 452(c) and (d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

The Court **DENIES** COIT's request for judicial notice of the pleadings and register of actions of the related case, *Ross et al. v. Sequoia Equities, Inc., et al.*, Case No. C23-02401 ("Class Action") as irrelevant to determination of the demurrer. (Davidson Decl. Exhs. 2, 3, and 4; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].)

Analysis

COIT filed general and special demurrers for uncertainty as to the 2AC in its entirety. COIT also generally demurs and specially demurs for uncertainty to four of the seven causes of action of the 2AC: the first C/A (breach of fiduciary duty), second C/A (fraud and intentional misrepresentation), fourth C/A (negligent interference with prospective economic advantage), and fifth C/A (broker's constructive fraud).

A. Demurrer to Entire 2AC

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.) The Court also commented, "An employee who seeks to hold a parent corporation liable for the acts or omissions of its subsidiary on the theory that the two corporate entities constitute a single employer has a heavy burden to meet under both California and federal law. Corporate entities are presumed to have separate existences, and the corporate form will be disregarded only when the ends of justice require this result." (*Mesler, supra*, 39 Cal.3d at 300.)

COIT relies on *Tran v. Farmers Group, Inc.* (2002) 104 Cal.App.4th 1202 as setting for the standards for pleading alter ego or a single enterprise. That case involved an interinsurance exchange and reversed an order for summary adjudication for the defendant companies that were the attorneys-in-fact for the interinsurance exchange based in part on an alter ego or single enterprise theory. (*Id.* at 1218-1219 ["An interinsurance exchange is not a corporation, but we see no reason why the distinction between the exchange and its attorney-in-fact may not be disregarded in cases meeting the requirements of the 'alter ego' or 'single enterprise' doctrine authorizing disregard of the corporate

entity. [Citations omitted.] . . . [¶] Two conditions are generally required for application of the doctrine to two related corporations: (1) such a unity of interest and ownership that the separate corporate personalities are merged, so that one corporation is a mere adjunct of another or the two companies form a single enterprise; and (2) an inequitable result if the acts in question are treated as those of one corporation alone. [Citations omitted.] Whether these conditions have been satisfied is a question of fact. [Citations omitted.]")

" 'Among the factors to be considered in applying the [alter ego] doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.' [Citations omitted.] Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations omitted.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation omitted.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal. App. 4th 523, 538-539 [cited in *Tran, supra*, 104 Cal.App.4th at 1219].)

COIT contends that the facts Plaintiffs have alleged are insufficient to support claims against COIT based on Plaintiffs' alter ego or "single enterprise" theories. Plaintiffs allege COIT is the "ultimate parent" of Sequoia and Alder Creek, which does not mean that COIT is not a separate entity; to the contrary, the allegation implicitly admits COIT has an independent legal existence. (2AC ¶ 34.) Plaintiffs allege COIT is the "financial sponsor" of Sequoia and Alder Creek (2AC ¶ 34); it is not clear what the term "financial sponsor" means, and Plaintiffs do not allege any additional facts elucidating the term. (See also 2AC ¶ 41 [on information and belief, "COIT is the financial sponsor and ultimate parent entity of" Sequoia and Alder].)

Paragraph 35 sets forth the most specific allegations against COIT. In that paragraph, Plaintiffs allege on information and belief that COIT operates as part of a "single enterprise" with Sequoia and Alder Creek based on the following facts: (1) Ken Coit appears in public filings as "control person" for Sequoia and COIT, such that there is "overlapping leadership" between the two entities; (2) unspecified "COIT controlled investment entities" use Sequoia's address in SEC filings and investor disclosures; and (3) "COIT sponsors the investment structures that hold the properties, while Sequoia manages them, creating financial interdependence and a symbiotic financial loop where COIT dictates the financial policies such as the bulk processing of deposits that Sequoia implements to maximize returns for COIT's investors." (2AC ¶ 35.) From these three facts, Plaintiffs make the conclusory allegation that "adherence to the fiction of COIT's separate existence would sanction a fraud, promote injustice, and permit the abuse of the corporate privilege." (2AC ¶ 35.) (*See also* 2AC ¶ 42 [conclusory allegation that "There is a unity of interest" between Sequoia, Alder Creek, and COIT].)

It is not clear how Ken Coit can be the "control person" for Sequoia, when Plaintiffs later allege Bill Brooks and Melinda Pederson are the individuals who control the operations of both Alder Creek and Sequoia. (2AC ¶¶ 29-31.) They allege that Mr. Brooks and Ms. Pederson, affiliated with Sequoia and Alder Creek according to the 2AC allegations, in effect were responsible for the wrongful conduct allegedly committed by Sequoia, but they do not allege that either of those individuals are designated officers of COIT. (2AC ¶¶ 29-31, 43, 60, 62.) Further, the allegations do not allege any facts showing

that an inequitable result would occur if the separate corporate existence of COIT were recognized. (*Compare to* 2AC ¶¶ 31, 32.)

The 2AC allegations impliedly indicate that there are distinct investment entities that COIT somehow "sponsors," perhaps meaning organizes, promotes, or funds, that invest in and own properties and that those separate investment entities use Sequoia, perhaps a second-tier subsidiary of COIT, to manage the investment properties. Use of Sequoia's address in SEC filings and investor disclosures for separate investment entities COIT "sponsors" is consistent with Sequoia acting as the management company for those investment properties. It is not clear how the fact that separate investment entities "sponsored" by COIT do business with Sequoia by having Sequoia manage COIT's investment entities means that there is a single enterprise such that recognizing COIT's separate existence in this case works a fraud or injustice against the Plaintiffs or would sanction an abuse of the corporate privilege. The Court does not find that these allegations are sufficient to state claims against COIT. (*See, e.g., Leek v. Cooper* (2011) 194 Cal.App.4th 399, 411, 415 ["[the plaintiff must "allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor. [Citation omitted.]" (Emphasis added.)].)

Plaintiffs argue that they have amended the allegations in the 2AC as the Court required in connection with the motion for judgment on the pleadings and the lack of factual allegations to support alter ego liability of Alder Creek, the only basis Plaintiffs have alleged for making claims against that entity. They argue the allegations against COIT "specifically entangle Coit with Alder Creek and Sequoia" (Opp. p. 6, ll. 24-25.) For the reasons explained above, any allegations of an alleged relationship between COIT and Alder Creek and Sequoia are not enough to allege an "entanglement" sufficient to subject COIT to alter ego liability for the acts and omissions alleged against Sequoia and Alder Creek.

B. General and Special Demurrers to the 1st C/A, 2nd, 4th, and 5th C/As

The 2AC makes no specific allegations of any acts or omissions of COIT in relation to the underlying wrongful conduct alleged in the 2AC. COIT is only mentioned by name in paragraphs 34-36, 41, 42, and 70. The deficiencies in the allegations of paragraphs 34 and 35 to state a claim against COIT as an alter ego or a single enterprise with Sequoia and Alder Creek are addressed at length above. Paragraph 36 merely explains the basis for naming COIT as a Doe defendant. Paragraphs 41, 42, and 70 repeat conclusory allegations of COIT's status. (2AC ¶¶ 41 [on information and belief, financial sponsor and ultimate parent], 42 [unity of interest with Sequoia and Alder Creek], and 70 [COIT liable for breach of contract "pursuant to alter ego and single enterprise allegations].)

The allegations are insufficient to allege a basis for imposing alter ego or single enterprise liability on COIT for the reasons stated above, and the 2AC in its entirety therefore fails to state facts sufficient to state causes of action against COIT. The Court therefore does not need to reach the general and special demurrers to the four specific causes of action challenged in COIT's demurrer.

Conclusion and Ruling

COIT's general demurrer to the 2AC in its entirety is **SUSTAINED, with leave to amend.**

9. 9:00 AM CASE NUMBER: C24-01538
CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT (CONTINUED FROM 2/23/26)
FILED BY: SEQUOIA EQUITIES, INC.
TENTATIVE RULING:

Before the Court is a demurrer by defendants Sequoia Equities, Inc. and Alder Creek Management to the second amended complaint. For the reasons set forth, the Court rules as set forth below.

Background

Plaintiffs Fuller Properties, LLC and approximately 21 other entities allege they are the owners of multifamily apartment buildings which are managed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. (Sec. Am. Compl. ("2AC") ¶¶ 4, 38, 40, 43.) Plaintiffs allege each of them entered into written Management and Leasing Agreements, a form of which is attached to the 2AC as Exhibit A. (2AC ¶ 43 and Exh. A.) Plaintiffs allege that there is a unity of interest between Sequoia and Alder Creek and/or that Sequoia was acting as agent for Alder Creek in the acts and omissions alleged in the 2AC, as well as that Sequoia and Alder Creek, along with another defendant COIT Financial Group, LLC, operate as a single enterprise as the basis for their claims against Alder Creek. (2AC ¶¶ 27-35, 39-42.) Plaintiffs generally allege Sequoia and Alder Creek mismanaged the properties owned by Plaintiffs, causing them damage.

In response to the filing of Plaintiffs' original complaint, the Court's register of actions shows Sequoia and Alder filed a demurrer that was not heard by the Court, as Plaintiffs filed a first amended complaint ("FAC"), and the hearing on the demurrer to the original complaint was vacated. Sequoia and Alder Creek then filed a motion for judgment on the pleadings as to the FAC, which alleged eleven causes of action against them. The motion sought judgment on nine of the 11 causes of action. The motion was granted in part, with leave to amend, and denied in part. (12/8/2025 Min. Order; Def. RJN ¶ 5 and Davidson Decl. Exh. 5 [Not. of Ruling filed 12/12/2025].) Plaintiffs then filed the current 2AC alleging seven causes of action.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (See also Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select*